

three months of wearing ragged jeans and holey shoes, Rick got the idea that his parents were serious. His dad said his son still had some lessons to learn about money, but the next time he received his clothing budget, he bought what he needed.

CARS: Whether or not to *allow* your son or daughter to have a car in high school is a major decision, even if *they* buy it. But to provide them a car and cover all the expenses usually works to the long-term detriment of most teenagers. Obviously, there are exceptions but, in general, cars are a luxury and an indulgence for students. Too often they're given to keep the kids out of the parents' hair.

If you're going to *allow* your teenagers to use your vehicles, I would suggest some basic rules:

- They should pay for their own insurance.
- They should pay a portion of the maintenance and up-keep. I suggest a usage rate of 5 cents per mile.
- They should provide their own gas and oil.
- They should clean the car after every use or at least once per week.
- They should pay all of their traffic violations, and driving privileges should be suspended for serious violations.

Just the fact that a child pays for his or her own car expenses is not justification for giving them free rein. A car is a large expense and a distraction that costs many high school students their futures. Remember how much trouble cars are in your life and help your children avoid trouble. They may get irritated, but they'll get over it, I promise.

(3) *Checking accounts.* Without hesitation, I can say that by age 16, your children should be using and maintaining their own checking accounts.

In preparation, I would encourage you to work through the checking account section of this book with them to be sure they understand how to balance their accounts. Since most teenagers can get along without checking accounts, most never have them. Even those that do often end up with a big mess where the parents pay for overdrafts and usually cancel the account. That is *not* an answer to poor management.